

Clerk Integration & Subscription Tier Proposal

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1. Why Clerk?

Clerk is a hosted authentication and billing platform. Rather than integrating two separate SaaS tools (e.g. Auth0 + Stripe directly), Clerk handles both auth and subscription management in a single service, with Stripe connected under the hood. This reduces the number of external dependencies, webhooks, and synchronisation code needed to run the platform.

What Clerk manages for us:

- ✓ User authentication (email/password, social login, MFA)
- ✓ Session management and JWT tokens
- ✓ Subscription plans — free trial, paid tiers
- ✓ Free trial logic (one-time per user, card required upfront)
- ✓ Plan upgrades, downgrades and cancellations
- ✓ Pre-built billing portal — users self-manage their plan
- ✓ Feature gating (server-side plan checks via `has()` helper)
- ✓ Stripe connection — Clerk syncs users and payments automatically

What our app still manages:

- ! Video credit counter (how many videos used this month)
- ! Credit rollover logic (unused credits carry forward up to 1 month)
- ! Per-video processing, transcript storage and output files
- ! Collections, folders, share links and other product features

Note: Clerk does not natively support usage-based credit counters. The credits system (rolling monthly allowance) will be a lightweight custom layer in our database, checked against the user's active Clerk plan.

2. Free Trial Setup

Clerk has native free trial support. The following rules apply regardless of which tier model is chosen:

- **One-time only** — a user who has previously paid or used a trial cannot start another.
- **Card required upfront** — reduces abuse; Clerk enforces this automatically.
- **Trial period** — proposed: allow 3 full video transcriptions.
- **Auto-conversion** — at trial end, Clerk charges the card and moves the user to the paid plan seamlessly.
- **Trial extension** — can be extended manually (1-365 days) from the Clerk dashboard if needed.
- **Feature visibility** — while on trial, the user sees all features of the paid tier they trialed. This creates the upgrade hook — they experience the product fully before deciding to continue.

Proposed trial configuration:

Setting	Value	Rationale
Trial videos	3 videos	Enough to see real value; not enough to misuse for free
Card required	Yes	Deters abuse; enables seamless conversion
Trial tier	Pro-tier features	Users experience the best version of the product
Post-trial default	Auto-charge paid plan	Reduces churn from forgetting to upgrade
Credit rollover on trial	No — trial credits expire	Keeps trial clean and separate from paid

3. Tier Model Options

Four different tier model proposals are presented below. Each follows the same principle: the free trial gives access to Pro-tier features for 3 videos, then the user chooses a plan. None of these are final — they are starting points for review and discussion.

Feature key used in tables below:

✓ Included ✗ Not included ~ Limited / partial

Model A — Classic Three-Tier + Unlimited

A familiar SaaS structure. Low entry price to capture casual users, mid tier for regular use, unlimited for power users. The Basic tier is intentionally lean to push users toward Pro.

Feature	Starter (Free Trial)	Basic £5/mo	Pro £14/mo	Unlimited £29/mo
Monthly video credits	3 (trial only)	10 vids/mo	40 vids/mo	Unlimited
Credit rollover	✗	7 days	30 days	✓
Transcript viewer	✓	✓	✓	✓
Timestamped sentences	✓	✓	✓	✓
Screenshots of URLs	✓	✗	✓	✓
ZIP export	✓	✗	✓	✓
Notes panel	✓	✓	✓	✓
Transcript search	✓	✗	✓	✓
Collections / folders	✗	✗	✓	✓
Share links	✗	✗	✓	✓
AI chapter markers	✓	✗	✗	✓
Scheduled transcription	✗	✗	✗	✓
Transcript correction	✗	✗	✓	✓
Priority processing	✗	✗	✗	✓

Upgrade hooks: Screenshots and ZIP locked behind Pro. AI chapters reserved for Unlimited. Basic is intentionally thin.

Model B — Generous Free Tier, Fewer Paid Tiers

A permanent free tier (not just a trial) drives organic word-of-mouth growth. Only two paid tiers simplifies the decision. The free tier is genuinely useful but clearly limited on volume.

Feature	Free (Permanent)	Creator £9/mo	Pro £22/mo
Monthly video credits	3 vids/mo forever	25 vids/mo	Unlimited
Credit rollover	✗	14 days	✓
Transcript viewer	✓	✓	✓
Timestamped sentences	✓	✓	✓
Screenshots of URLs	✗	✓	✓
ZIP export	✗	✓	✓
Notes panel	✓	✓	✓
Transcript search	✗	✓	✓
Collections / folders	✗	5 max	✓
Share links	✗	✓	✓
AI chapter markers	✗	5/mo	✓
Scheduled transcription	✗	✗	✓
Transcript correction	✗	✓	✓
Priority processing	✗	✗	✓

Upgrade hooks: Free locks screenshots, ZIP and search. Creator caps collections and AI chapters.

Model C — Identity-Led Naming (Explorer / Creator / Studio / Enterprise)

Names reflect the user's role, not just a price band. Explorer feels non-threatening for new users. Studio signals professional use. Enterprise is future-ready for team accounts.

Feature	Explorer (Trial)	Creator £7/mo	Studio £19/mo	Enterprise £45/mo
Monthly video credits	3 (trial)	15 vids/mo	60 vids/mo	Unlimited
Credit rollover	✗	7 days	30 days	✓
Transcript viewer	✓	✓	✓	✓
Timestamped sentences	✓	✓	✓	✓
Screenshots of URLs	✓	✗	✓	✓
ZIP export	✓	No screenshots	✓	✓
Notes panel	✓	✓	✓	✓
Transcript search	✓	✗	✓	✓
Collections / folders	✗	✗	✓	✓
Share links	✗	✗	✓	✓
AI chapter markers	✓	✗	✓	✓
Scheduled transcription	✗	✗	3 channels	✓
Transcript correction	✗	✓	✓	✓
Team workspace	✗	✗	✗	✓
Priority processing	✗	✗	✗	✓

Upgrade hooks: Creator feels cut-down (no screenshots in ZIP, no search). Studio is the intended sweet spot. Enterprise adds team features for future B2B expansion without needing to build it now.

Model D — Base Plans + Credit Top-Up Packs

Lower base subscription cost; users buy extra credit packs if they exceed their allowance. Reduces churn from occasional heavy users.
Note: top-ups require a small amount of custom Stripe work alongside Clerk.

Feature	Free Trial	Lite £6/mo	Regular £15/mo	Power £35/mo
Monthly video credits	3 (trial)	8 vids/mo	35 vids/mo	Unlimited
Extra credit top-ups	✗	+5 for £2	+10 for £3	N/A
Credit rollover	✗	7 days	30 days	✓
Transcript viewer	✓	✓	✓	✓
Timestamped sentences	✓	✓	✓	✓
Screenshots of URLs	✓	✗	✓	✓
ZIP export	✓	✓	✓	✓
Notes panel	✓	✓	✓	✓
Transcript search	✓	✗	✓	✓
Collections / folders	✗	✗	✓	✓
Share links	✗	✗	✓	✓
AI chapter markers	✓	✗	5/mo	✓
Scheduled transcription	✗	✗	✗	✓
Transcript correction	✗	✓	✓	✓
Priority processing	✗	✗	✗	✓

Upgrade hooks: Lite locks screenshots and search. Credit top-ups give a pressure valve — casual users stay on Lite with occasional extras; heavy users naturally migrate to Regular.

4. Model Comparison at a Glance

	Model A	Model B	Model C	Model D
Tier count	4	3	4	4
Permanent free tier	✗	✓	✗	✗
Credit top-ups	✗	✗	✗	✓
Lowest paid price	£5/mo	£9/mo	£7/mo	£6/mo
Mid tier price	£14/mo	£22/mo	£19/mo	£15/mo
Top tier price	£29/mo	N/A	£45/mo	£35/mo
Team / B2B ready	✗	✗	✓	✗
Simplest for user	Medium	✓	Medium	Complex
Revenue potential	Medium	Medium	✓	✓
Best fit for	Standard SaaS	Growth-led	Pro brand	Power users

5. Recommended Starting Point

Based on the goal of driving upgrades while keeping the product accessible, **Model C (Explorer / Creator / Studio / Enterprise)** is the strongest starting point. The naming is aspirational and positions the product as a professional tool. The Studio tier (£19/mo) is the intended landing zone for most paying users — it includes all core features and is priced to feel fair against the value delivered. Enterprise is a placeholder for future team/B2B expansion and does not need to be built immediately.

If a permanent free tier is preferred to drive organic growth, **Model B** is the simplest and cleanest option — two paid tiers reduces decision fatigue for the user.

All prices shown are indicative in GBP and are not final. Review and adjust based on competitive research and target audience before launch.

6. Cost & Revenue Breakdown

The tables below show projected monthly income, costs, and profit for each tier model at different paying subscriber counts. All figures are in GBP. Assumptions are listed below.

Cost assumptions:

Item	Rate	Notes
Server / hosting	£25/mo fixed	Covers up to ~500 users. Add £25/mo per additional 500.
Clerk platform	£0/mo	Free up to 50,000 MAU. Paid plan only needed at scale.
Payment processing	~2.1% of revenue	Clerk 0.7% + Stripe ~1.4% transaction fees.
AI chapter markers	£0.01/use (Haiku)	Assumed 30% of users run AI chapters on avg 5 videos/mo.
Storage / bandwidth	~£0.002/user/mo	Negligible at early scale.
Total variable / user	~£0.05/user/mo	Blended average across all tiers and feature usage.

Tier mix assumption: 20% on lowest paid tier, 55% on mid tier, 25% on top tier. This gives the blended ARPU (average revenue per user) used in projections below.

Model A — Blended ARPU: £15.95/mo

Tier mix: Basic £5 / Pro £14 / Unlimited £29

	5 users	10 users	25 users	50 users	100 users	250 users	500 users	1000 users
Monthly income	£80	£160	£399	£798	£1,595	£3,988	£7,975	£15,950
Server cost	£25	£25	£25	£25	£25	£25	£25	£50
Variable cost	£0.25	£0.50	£1.25	£2.50	£5.00	£12.50	£25.00	£50.00
Payment fees	£1.67	£3.35	£8.37	£16.75	£33.50	£83.74	£167.48	£334.95
Total costs	£27	£29	£35	£44	£63	£121	£217	£435
Net profit	£53	£131	£364	£753	£1,532	£3,866	£7,758	£15,515
Margin %	66%	82%	91%	94%	96%	97%	97%	97%

Model B — Blended ARPU: £16.80/mo

Tier mix: Creator £9 / Pro £22

	5 users	10 users	25 users	50 users	100 users	250 users	500 users	1000 users
Monthly income	£84	£168	£420	£840	£1,680	£4,200	£8,400	£16,800
Server cost	£25	£25	£25	£25	£25	£25	£25	£50
Variable cost	£0.25	£0.50	£1.25	£2.50	£5.00	£12.50	£25.00	£50.00
Payment fees	£1.76	£3.53	£8.82	£17.64	£35.28	£88.20	£176.40	£352.80
Total costs	£27	£29	£35	£45	£65	£126	£226	£453
Net profit	£57	£139	£385	£795	£1,615	£4,074	£8,174	£16,347
Margin %	68%	83%	92%	95%	96%	97%	97%	97%

Model C — Blended ARPU: £23.10/mo

Tier mix: Creator £7 / Studio £19 / Enterprise £45

	5 users	10 users	25 users	50 users	100 users	250 users	500 users	1000 users
Monthly income	£116	£231	£578	£1,155	£2,310	£5,775	£11,550	£23,100
Server cost	£25	£25	£25	£25	£25	£25	£25	£50
Variable cost	£0.25	£0.50	£1.25	£2.50	£5.00	£12.50	£25.00	£50.00
Payment fees	£2.43	£4.85	£12.13	£24.26	£48.51	£121.28	£242.55	£485.10
Total costs	£28	£30	£38	£52	£79	£159	£293	£585
Net profit	£88	£201	£539	£1,103	£2,231	£5,616	£11,257	£22,515
Margin %	76%	87%	93%	96%	97%	97%	97%	97%

Model D — Blended ARPU: £18.20/mo

Tier mix: Lite £6 / Regular £15 / Power £35

	5 users	10 users	25 users	50 users	100 users	250 users	500 users	1000 users
Monthly income	£91	£182	£455	£910	£1,820	£4,550	£9,100	£18,200
Server cost	£25	£25	£25	£25	£25	£25	£25	£50
Variable cost	£0.25	£0.50	£1.25	£2.50	£5.00	£12.50	£25.00	£50.00
Payment fees	£1.91	£3.82	£9.55	£19.11	£38.22	£95.55	£191.10	£382.20
Total costs	£27	£29	£36	£47	£68	£133	£241	£482
Net profit	£64	£153	£419	£863	£1,752	£4,417	£8,859	£17,718
Margin %	70%	84%	92%	95%	96%	97%	97%	97%

Break-even summary:

Model	Break-even point	Revenue at break-even	Costs at break-even
Model A	2 paying users	£31.90/mo revenue	£25.77/mo costs
Model B	2 paying users	£33.60/mo revenue	£25.81/mo costs
Model C	2 paying users	£46.20/mo revenue	£26.07/mo costs
Model D	2 paying users	£36.40/mo revenue	£25.86/mo costs

These figures assume the tier mix and variable cost estimates above. Actual break-even will vary based on real usage patterns, AI chapter adoption rate, and final hosting configuration.